

July 27, 2026 04:18 PM GMT

Huaming Power Equipment | Asia Pacific

Priced for Fear, Built for Growth

WHAT'S CHANGED

Huaming Power Equipment (002270.SZ)	From	To
Price Target	Rmb34.50	Rmb26.40

We believe the market has been overly concerned about competition and under-appreciates Huaming's long-term growth. We reiterate OW after valuation reset and expect better-than-feared results to be a positive catalyst.

Huaming's share price has corrected by as much as 54% from the historical peak in early 2026 amid market concerns including a major competitor's capacity ramp-up, slower-than-expected US market development, and disappointing 1Q26 results. However, we hold a different view and view current valuation of 19x 2027E P/E as attractive vs. global peers' average valuation of 30x. We cut our 2026-28 net profit estimates by 5-10% to reflect more conservative growth seen for non-grid domestic revenue, a higher SG&A expense ratio due to share incentives, and FX losses on Rmb appreciation. We lower our P/E-based PT to Rmb26.40 (from Rmb34.50) based on 25x one-year forward P/E (previously 30.5x).

What does MR's capacity expansion really mean? Maschinenfabrik Reinhausen (MR), Huaming's key competitor with 50% global market share, plans to double production capacity by 2028-30. The market believes this will intensify competition, but we think it may also indicate unexpected TAM expansion, for which we see some clues from the recent [EU Electrification Action Plan](#). EU targets an electrification rate of 46% by 2040, compared to a stagnant 23% over the past decade. This should come with more renewable and EV adoption, making installation of low-to-medium voltage tap changers in the distribution networks more imminent to secure grid stability, and thus creating a greater TAM than the current >35kV tap changer market.

Has Huaming changed its overseas strategy? We reiterate our bullish view on Huaming's overseas expansion, which is not driven by shortages but rather cost attractiveness and customers' improved willingness to diversify the supply chain, especially against a backdrop of China's transformer exports. US business development is subject to product testing, which we view as a catalyst for 4Q26. We expect Huaming's power equipment export revenue to increase at a ~30% CAGR over 2025-29, bringing overseas revenue contribution to 54% in 2029 (vs. 34% in 2025).

Earnings growth set to re-accelerate from 2027: After our estimate revisions, we see 11% net profit growth in 2026, largely in line with sell-side consensus but above buy-side expectations as some investors expect no growth or a slight decline in 1H26. Beyond 2026, we believe earnings growth can return to 18-20% pa, with an improving product mix and alleviated drag from FX losses and share incentive expenses.

MORGAN STANLEY ASIA LIMITED+

Tom Li

Equity Analyst

Tom.Li1@morganstanley.com

+852 2239-1059

Eva Hou

Equity Analyst

Eva.Hou@morganstanley.com

+852 2848-6964

Asia Summer School 2026

Huaming Power Equipment (002270.SZ, 002270 CS)

China Utilities | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb26.40
Up/downside to price target (%)	33
Shr price, close (Jul 27, 2026)	Rmb19.86
52-Week Range	Rmb38.01-17.23
Sh out, dil, curr (mn)	896
Mkt cap, curr (mn)	Rmb17,799.0
EV, curr (mn)	Rmb17,239.6
Avg daily trading value (mn)	Rmb411

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.8	0.9	1.0	1.2
Prior EPS (Rmb)**	-	0.9	1.1	1.4
EPS (Rmb)§	0.8	0.9	1.1	1.3
Revenue, net (Rmb mn)	2,426.8	2,697.6	3,088.4	3,524.8
EBITDA (Rmb mn)	847.5	938.2	1,106.1	1,298.2
ModelWare net inc (Rmb mn)	709.7	785.3	938.9	1,110.4
P/E	31.7	22.7	19.0	16.0
P/BV	7.1	5.3	4.8	4.4
RNOA (%)	29.4	28.2	28.0	31.2
ROE (%)	22.4	25.0	27.8	30.1
EV/EBITDA	25.8	18.7	15.8	13.3
Div yld (%)	2.2	3.1	3.5	4.2
FCF yld ratio (%)**	2.1	3.5	4.0	4.8
Leverage (EOP) (%)	(27.5)	(17.2)	(19.1)	(21.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Huaming Power Equipment 002270.SZ

Tap Changer Export Revenue	↑ Likely upside surprise	↑ Modest revision higher
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*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Financial Summary

Exhibit 1: Financial Summary

Income statement

Rmb mn	2025	2026E	2027E	2028E
Revenue	2,427	2,698	3,088	3,525
COGS	(1,104)	(1,209)	(1,349)	(1,501)
Gross profit	1,322	1,488	1,740	2,023
Business Tax and Surcharges	(32)	(36)	(41)	(47)
Selling Expenses	(252)	(243)	(263)	(282)
Admin Expenses	(170)	(252)	(297)	(347)
R&D Expenses	(88)	(98)	(113)	(129)
EBIT	781	859	1,027	1,219
Financial Costs	26	10	17	20
Non-Operating Income	47	76	86	96
Non-Operating Expenditure	(6)	(7)	(8)	(9)
Profit before tax	848	939	1,122	1,327
Income tax	(129)	(142)	(170)	(201)
Profit for the year	720	796	952	1,126
Minorities	(10)	(11)	(13)	(15)
Net profit	710	785	939	1,110
One-off Items	39	50	58	66
Recurring Net profit	671	735	881	1,044
EPS	0.79	0.88	1.05	1.24
DPS	0.61	0.70	0.84	0.99

Balance sheet

Rmb mn	2025	2026E	2027E	2028E
Cash & equivalents	1,166	884	1,006	1,155
Accounts receivable & contract asset	580	645	738	843
Other receivables	867	964	1,104	1,260
Inventory	387	424	473	526
Other current assets	274	268	261	254
Total current assets	3,274	3,185	3,583	4,038
Net tangible fixed assets	1,016	1,017	1,018	1,019
Other long term assets	918	927	938	952
Total non-current assets	1,935	1,945	1,957	1,971
Total assets	5,208	5,130	5,540	6,009
Short-term Loans	220	220	220	220
Accounts payable	221	242	270	301
Advance payment / contract liabilities	68	68	68	68
LT borrowing mature in 1 year	106	106	106	106
Other short term liabilities	466	510	568	631
Total current liabilities	1,081	1,146	1,232	1,326
Long term debt	393	-	-	-
Long-term Accounts Payable	161	161	161	161
Other long term liabilities	401	401	401	401
Total non-current liabilities	955	562	562	562
Total liabilities	2,036	1,708	1,794	1,888
Minority interests	30	41	54	70
Paid-in Capital (or Share Capital)	227	227	227	227
Capital Reserve	1,083	1,083	1,083	1,083
Reserves & Retained earnings	1,832	2,071	2,381	2,741
Shareholders' equity	3,142	3,381	3,692	4,051
Total equity	3,172	3,422	3,746	4,121
Total liabilities & equity	5,208	5,130	5,540	6,009

Source: FactSet, company data, Morgan Stanley Research (E) estimates

Cashflow

Rmb mn	2025	2026E	2027E	2028E
Profit for the year	720	796	952	1,126
Adjustments for:				
Depreciation	6	-	-	-
Amortization	67	79	79	79
Finance cost	19	(10)	(17)	(20)
Others	86	41	39	37
Changes in Working capital	(294)	(128)	(190)	(212)
Net cash flows from operating activities	604	778	863	1,009
CAPEX	(112)	(140)	(140)	(140)
Others	163	10	10	10
Net cash flows from investing activities	51	(130)	(130)	(130)
Share issuance	0	-	-	-
Increase/(decrease) in debt	193	(393)	0	0
Dividends & interest paid	(614)	(537)	(611)	(731)
Other cash from financing	(166)	-	-	-
Net cash flows from financing activities	(587)	(929)	(611)	(731)
Effect of FX rate changes	(6)	-	-	-
Net change in cash flow	62	(281)	122	148
Cash at the beginning	1,104	1,166	884	1,006
Cash restatement				
Cash at the end	1,166	884	1,006	1,155

Key ratios

	2025	2026E	2027E	2028E
Growth				
Revenue	4.5%	11.2%	14.5%	14.1%
Gross profit	16.7%	12.5%	16.9%	16.3%
EBIT	16.9%	10.1%	19.5%	18.7%
Net profit	15.5%	10.7%	19.6%	18.3%
Recurring Net profit	15.3%	9.6%	19.9%	18.5%
Margin				
Gross Margin	54.5%	55.2%	56.3%	57.4%
EBITDA	35.2%	34.8%	35.8%	36.8%
EBIT	32.2%	31.9%	33.3%	34.6%
Net profit	29.2%	29.1%	30.4%	31.5%
Net profit	27.6%	27.2%	28.5%	29.6%
Return				
ROA	12.9%	14.3%	15.9%	17.4%
ROAE	21.3%	22.5%	24.9%	27.0%
ROE	21.3%	21.7%	23.9%	25.8%
Gearing				
Net Debt (Net Cash) /Equity	net cash	net cash	net cash	net cash
Net Debt (Net Cash)/Capital	net cash	net cash	net cash	net cash
EBITDA Interest Coverage	(32.7)	(95.5)	(12.9)	(13.5)
Valuation				
EV/EBITDA	25.8	18.4	15.5	13.1
P/E	31.7	22.7	19.0	16.0
P/BV	7.1	5.3	4.8	4.4
Dividend Yield	2.4%	3.5%	4.2%	5.0%

Estimate and PT changes

We lower our 2026-28 revenue forecasts by 2-6%, mainly to factor in more conservative growth in non-grid domestic revenue, including industrial and renewables given weak FAI growth and a high base of renewable installations in 2025. We also assume a higher SG&A expense ratio due to share incentives and more FX losses on Rmb appreciation, leading 5-10% cuts to our net profit estimates for the period.

We are now 4% below sell-side consensus net profit forecasts for 2026-28 but likely still well above buy-side expectations. Based on recent conversations, some most bearish investors are expecting slight declines in net profit in 1H26 and 2Q26. With 2Q25 representing a low base and pent-up demand from 1Q26 for delivery catch-up, we believe 2Q26 earnings growth is likely to be better than feared.

Exhibit 2: Key estimates - New vs. Old

Rmb mn	2026E	2027E	2028E
Revenue			
New	2,698	3,088	3,525
Old	2,766	3,241	3,765
Diff.	-2%	-5%	-6%
Total net profit			
New	785	939	1,110
Old	827	1,014	1,230
Diff.	-5%	-7%	-10%
EPS			
New	0.88	1.05	1.24
Old	0.92	1.13	1.37
Diff.	-5%	-7%	-10%

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 3: MS estimates vs. sell-side consensus

Rmb mn	2026E	2027E	2028E
Revenue			
MS	2,698	3,088	3,525
Consensus	2,804	3,259	3,772
Diff.	-4%	-5%	-7%
Total net profit			
MS	785	939	1,110
Consensus	821	977	1,156
Diff.	-4%	-4%	-4%

Source: FactSet, Morgan Stanley Research (E) estimates

Our P/E-based PT falls to Rmb26.40 (from Rmb34.50) based on 25x one-year forward P/E (previously 30.5x). This P/E is roughly 1SD above the long-term historical average since 2019, but below the historical peaks of 30-40x seen in early 2019, late 2021, mid-2024, and early 2026. It is also below the global peer average valuation of 30x.

Exhibit 4: Huaming's one-year forward P/E band



Source: FactSet, company data, Morgan Stanley Research estimates

Exhibit 5: P/E valuation summary

P/E multiple valuation	
Date of valuation	7/26/2026
Target P/E	25.0x
2027E EPS (Rmb)	1.05
Implied value per share (Rmb)	26.2
Roll forward at cost of equity	27.2
Less: Dividends per share (Rmb)	(0.7)
Price target (Rmb)	26.4
Current share price	19.9
Upside to PT	33%
Valuation inputs	
Risk-free rate	2.1%
Equity market risk premium	4.5%
Beta	1.0
Cost of equity	6.6%

Source: FactSet, company data, Morgan Stanley Research (E) estimates

	2025E	2026E	2027E	2028E	2029E
EPS	0.79	0.88	1.05	1.24	1.46
DPS	0.61	0.70	0.84	0.99	1.17
P/E (current)	25.1	22.7	19.0	16.0	13.6
P/E (implied)	33.4	30.1	25.2	21.3	18.0
Dividend yield (current)	3.1%	3.5%	4.2%	5.0%	5.9%

Risk Reward – Huaming Power Equipment (002270.SZ)

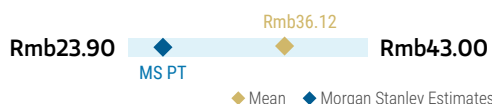
High-quality Compounder

PRICE TARGET Rmb26.40

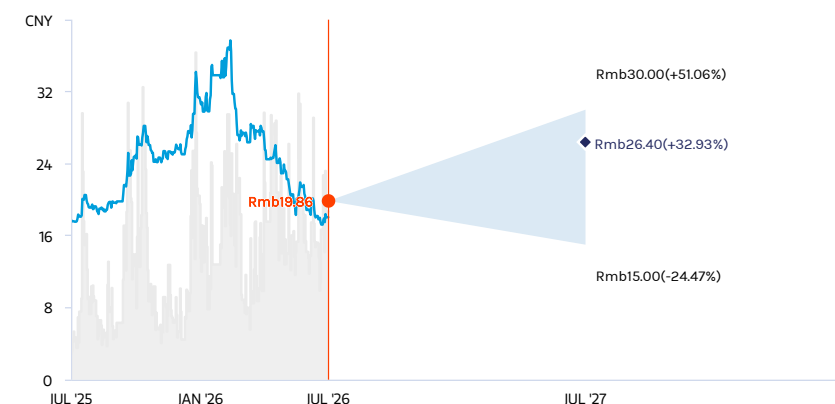
Our PT is based on 25x one-year forward PE, which is roughly 1SD above the long-term historical average since 2019. This is below the historical peaks of 30-40x seen at early 2019, late 2021, mid-2024, and early 2026, and also below the global peer average valuation of 30x.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

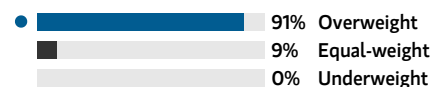
Earnings growth acceleration seen from 11-16% in 2024-26 to 18-20% pa in 2027-29E, driven by domestic grid capex boost, global market share gain, and development of UHV products.

Margin expansion led by an improved product mix - overseas and UHV products could deliver a 10-30ppt GPM premium vs. traditional domestic products.

Best-in-class competitive dynamics support good cash flow and a high dividend - we expect an 80% dividend payout in 2026-29E, implying a 3.5-4.2% yield in 2026/27E.

Still room for re-rating as the shares are trading at 19.0x 2027E P/E, below global peers at 30x on average.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb30.00

27.0x 2027E P/E

We assume: 1) UHV product market share 3ppts above the base case for 2027-29E; 2) revenue growth of indirect export 5ppts higher than base case for 2026-29E; 3) revenue growth of direct export 5ppts higher than base case for 2026-29E; 4) GPM for power equipment 1ppt higher than base case for 2026-29E.

BASE CASE

Rmb26.40

25.0x 2027E P/E

We assume: 1) China UHV product market share to be 3%/3.5%/4% for 2027-29E; 2) 40% revenue CAGR for indirect exports of tap changers in 2025-29E; 3) 15% revenue CAGR for direct exports of tap changers in 2025-29E; 4) 61% GPM on average for power equipment in 2026-29E.

BEAR CASE

Rmb15.00

15.2x 2027E P/E

We assume: 1) UHV product market share 3ppts below the base case for 2027-29E; 2) revenue growth of indirect exports 5ppts lower than base case for 2026-29E; 3) revenue growth of direct exports 5ppts lower than base case for 2026-29E; 4) GPM for power equipment 1ppt lower than base case for 2026-29E.

Risk Reward – Huaming Power Equipment (002270.SZ)

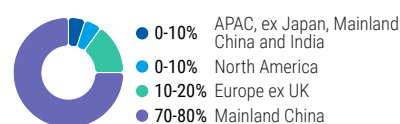
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Rev growth of Power equipment (%)	16.1	10.8	16.8	16.0
Blended GPM (%)	54.5	55.2	56.3	57.4
SG&A expense ratio (%)	21.0	22.0	21.7	21.5

INVESTMENT DRIVERS

- Global power demand growth that leads to more grid equipment demand
- State Grid and South Grid raising grid capex further
- Global market share gains, especially in Europe, Middle East, and even the US

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected global market share gains with smooth execution
- Larger-than-expected TAM for tap changers

RISKS TO DOWNSIDE

- Slower-than-expected global grid build-out
- Rising competition that weighs on margins
- Longer-than-expected product delivery due to geopolitical risks

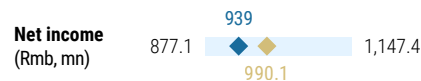
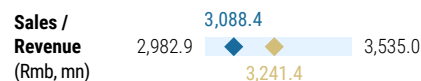
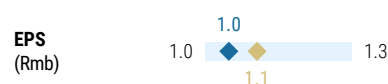
OWNERSHIP POSITIONING

Inst. Owners, % Active 94.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

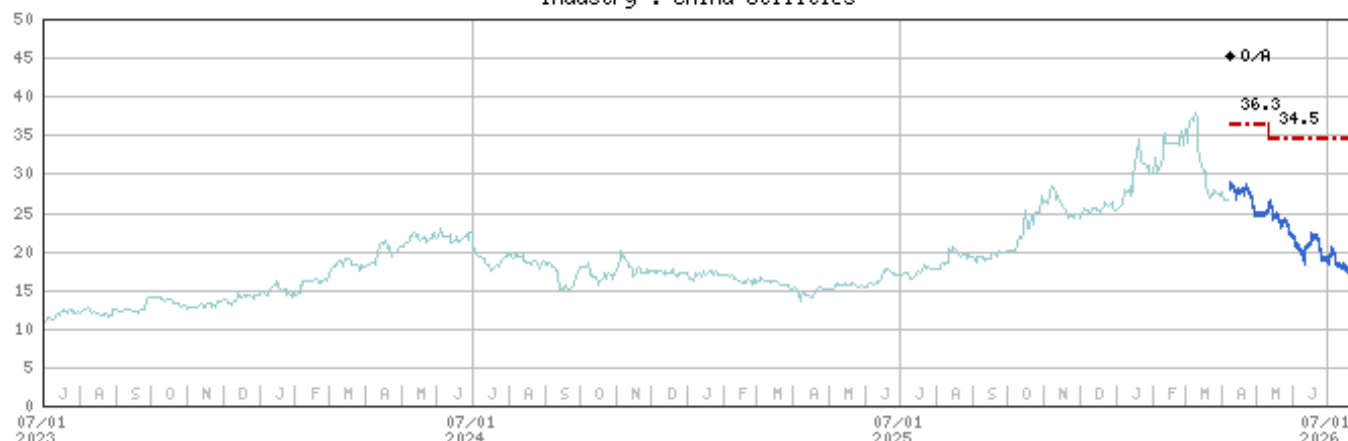
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Huaming Power Equipment (002270.SZ) - As of 07/27/26 GMT in CNY
Industry : China Utilities



Stock Rating History: 4/8/26 : O/A

Price Target History: 4/8/26 : 36.3; 5/11/26 : 34.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: China Utilities

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/27/2026)
Eva Hou		
CGN Power Co., Ltd (1816.HK)	E (03/21/2026)	HK\$2.86
CGN Power Co., Ltd (003816.SZ)	U (03/29/2021)	Rmb4.03
China Longyuan Power Group (0916.HK)	E (01/20/2026)	HK\$5.74
China Longyuan Power Group (001289.SZ)	E (08/06/2024)	Rmb16.42
China Resources Power (0836.HK)	E (03/21/2026)	HK\$18.98
China Yangtze Power Co. (600900.SS)	O (11/14/2023)	Rmb28.35
Dajin Heavy Industry (002487.SZ)	O (04/18/2026)	Rmb40.54
Goldwind (002202.SZ)	U (01/20/2026)	Rmb18.15
Goldwind (2208.HK)	E (08/17/2022)	HK\$9.94
Hangzhou First Applied Material Co. Ltd (603806.SS)	O (01/18/2023)	Rmb14.10
Henan Pinggao Electric (600312.SS)	O (01/18/2024)	Rmb19.10
Huaneng Power International Inc. (0902.HK)	E (06/30/2022)	HK\$5.93
Huaneng Power International Inc. (600011.SS)	U (04/07/2021)	Rmb7.14
JA Solar Technology Co Ltd (002459.SZ)	E (09/02/2025)	Rmb7.22
Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	O (10/12/2020)	Rmb32.66
LONGi Green Energy Technology Co Ltd (601012.SS)	U (09/02/2025)	Rmb12.64
NARI Technology (600406.SS)	O (11/01/2015)	Rmb23.90
Ningbo Orient Wires & Cables Co Ltd (603606.SS)	O (08/17/2022)	Rmb39.06
Riyue Heavy Industry Co., Ltd. (603218.SS)	O (02/11/2025)	Rmb9.58
Shanghai Electric (2727.HK)	U (03/26/2021)	HK\$3.24
Shanghai Electric (601727.SS)	U (03/26/2021)	Rmb6.60
Sieyuan Electric Co.Ltd. (002028.SZ)	O (07/01/2025)	Rmb168.30
Sinoma Science & Technology Co. Ltd. (002080.SZ)	O (09/23/2025)	Rmb51.94
Sungrow Power Supply Co. Ltd (300274.SZ)	O (06/09/2026)	Rmb116.21
Tongwei Co. Ltd. (600438.SS)	E (09/02/2025)	Rmb11.17
XJ Electric (000400.SZ)	E (03/21/2026)	Rmb22.30
Hannah Yang, CFA		
Xinyi Solar Holdings Ltd (0968.HK)	O (07/30/2020)	HK\$2.15
Tom Li		

Anhui Yingliu Electromechanical Co Ltd (603308.SS)	O (04/08/2026)	Rmb47.02
China Gas Holdings (0384.HK)	E (07/10/2026)	HK\$5.85
China Resources Gas (1193.HK)	E (07/10/2026)	HK\$16.08
Huaming Power Equipment (002270.SZ)	O (04/08/2026)	Rmb19.86
Ningbo Sanxing Medical Electric Co. Ltd. (601567.SS)	O (04/08/2026)	Rmb15.13

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* Historical prices are not split adjusted.

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